



[Weekly Market Commentary](#)

Dear clients,

The Token2049 and Solana Breakpoint crypto conferences took place in Singapore last week, where industry leaders discussed important themes and significant protocol updates. Our own “Coinbase House” served as the central hub for Coinbase activities, and we hosted a number of panels including a conversation with Rune Christensen, the founder of Sky (formerly MakerDAO), on their protocol rebranding and upgrade. Overall, crypto investor sentiment seemed fairly positive with a strong focus on BTC and higher beta names, with many key announcements made throughout the week.

Looking ahead, we retain a constructive outlook for 4Q24 mostly predicated on our favorable view of the current macro environment. In addition to US rate cuts, China revealed a massive double fiscal and monetary stimulus package that includes a record breaking rate cut, liquidity support for stocks, and a drop in the banking reserve requirement ratio. This should be beneficial for market liquidity, which has historically supported BTC performance. At the same time, the US economy appears resilient with stronger than expected 2Q24 GDP growth at 3.0%.

The SEC’s approval of options on iShares Bitcoin Trust (IBIT) is also a positive signal for the crypto industry, though final approval timelines from the Options Clearing Corp (OCC) and CFTC remain uncertain. We think options are likely to attract greater liquidity and volumes and may expand bitcoin adoption among institutional investors since these open the door to new derivative-based, yield-enhancing strategies that were not possible before.

Onchain activity has also picked up in line with bullish sentiment. Decentralized exchange (DEX) volumes have increased by double digit percentages across Solana and multiple Ethereum L2s. Leverage also appears to be growing as lending rates on Aave have increased by 100bps over the past week. With the widespread rise in activity, gas prices on Ethereum mainnet have jumped 500% over the past 10 days. The median Ethereum transaction fee is \$1.69 as we go to publish, up from \$0.09 at the start of the month.

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The Coinbase Institutional Team

Weekly Market Call

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